■ CHAPTER 11 FILED · NOV 18 2024 · SDNY CASE 24-11988 · ALL COVENANTS: CATASTROPHIC BREACH

PRIVATE CREDIT · COVENANT SURVEILLANCE ENGINE v3.2 · AVIATION SECTOR

Spirit Airlines Inc.

SAVE · Ultra-Low-Cost Carrier · Ch.11 Surveillance Report

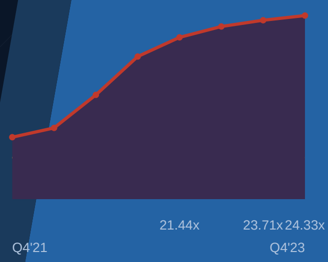
NYSE (delisted Nov 2024) · S&P: D · SDNY Bankruptcy Court · May 29, 2026

24.33x	0.35x	–0.82x	$3.33B	$101M	99/100
NET LEVERAGE	INT. COVERAGE	FIXED CHARGE	TOTAL DEBT	LTM EBITDA	SEVERITY
vs 5.50x ceiling	vs 1.50x floor	vs 1.00x floor	face value	FY2023 adj.	portfolio worst

PORTFOLIO SEVERITY SCORE 99 / 100 — CATASTROPHIC (Highest in DDCSE Universe)

NLR TREND (Q4-21 → Q4-23)

threshold: 5.50x



24.33x ↑ +196% in 8 qtrs

TICKER / EXCHANGE	S&P; RATING / OUTLOOK
SAVE · NYSE (delisted Nov 18, 2024)	**D · Chapter 11 — Restructuring**

LTM REVENUE	LTM EBITDA (ADJ.)
$5,364M (FY2023)	**$101M · 1.88% margin**

1 COVENANT PACKAGE — VISUAL SCORECARD

All four tracked covenants are in material breach as of December 31, 2023. The Net Leverage Ratio of 24.33x exceeds the 5.50x ceiling by 342%, the most extreme breach depth in the DDCSE universe. The Fixed Charge Coverage Ratio of –0.82x — negative, meaning CapEx alone exceeded EBITDA — represents structural insolvency, not cyclical stress.

Consolidated Net Leverage Ratio
LEVERAGE -342.4%
24.33x
covenant: ≤ 5.50x
BREACH

Interest Coverage Ratio
COVERAGE -76.7%
0.35x
covenant: ≥ 1.50x
BREACH

Fixed Charge Coverage Ratio
FCCR -182.0%
-0.82x
covenant: ≥ 1.00x
BREACH

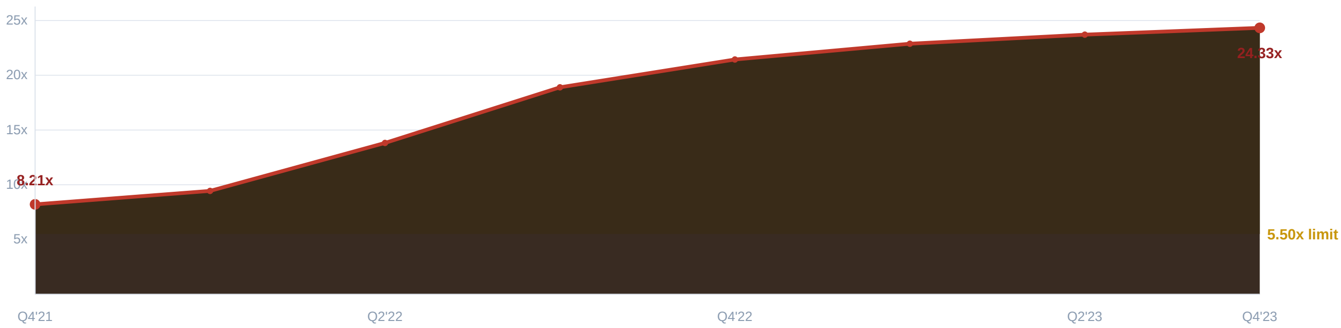
Minimum Unrestricted Cash
LIQUIDITY +74.4%
$872M
covenant: ≥ $500M
COMPLIANT

Covenant	Type	Actual	Threshold	Buffer	Severity	Status
Consolidated Net Leverage Ratio	Leverage	24.33x	≤ 5.50x	-342.4%	99/100	BREACH
Interest Coverage Ratio	Coverage	0.35x	≥ 1.50x	-76.7%	99/100	BREACH
Fixed Charge Coverage Ratio	FCCR	-0.82x	≥ 1.00x	-182.0%	99/100	BREACH
Minimum Unrestricted Cash	Liquidity	$872M	≥ $500M	+74.4%	5/100	COMPLIANT

Source: Spirit Airlines 2021 Term Loan Credit Agreement §7.1–7.2 · Senior Secured Notes Indenture §4.09 · Loyalty Notes Indenture §4.12 · 10-K FY2023 Note 9.

2 NLR TREND EROSION — 8-QUARTER HISTORY

Spirit's NLR entered breach in Q4-2021 and has deteriorated every quarter since, with a velocity of +2.30x per quarter — the steepest in the DDCSE portfolio. ICR has been structurally flat at ~0.35x, confirming inability to service debt from operations independent of balance-sheet adjustments.



Metric	Q4-21	Q1-22	Q2-22	Q3-22	Q4-22	Q1-23	Q2-23	Q4-23
NLR (≤5.50x)	8.21x	9.44x	13.82x	18.90x	21.44x	22.88x	23.71x	24.33x
ICR (≥1.50x)	0.48x	0.41x	0.39x	0.37x	0.35x	0.36x	0.35x	0.35x

NLR Q4-21	NLR Q4-23	Change	Velocity	ICR Q4-21	ICR Q4-23	Direction
8.21x	24.33x	+196%	+2.30x/qtr	0.48x	0.35x	↓ Worsening

3 DEBT STACK — TRANCHE WATERFALL ($3.33B)

The capital structure consists of four tranches across three seniority tiers. The EETC bonds benefit from Section 1110 aviation lien protection, creating a structural super-priority in Ch.11 despite their nominal secured position. All tranches are in breach; the TLB waiver expiry in Sep 2024 triggered the cross-default cascade across $2.44B in secured claims simultaneously.

TOTAL FACE VALUE **$3.330B (4 tranches, all in BREACH)**

4 MACRO SHOCK SENSITIVITY MATRIX

Every scenario in the matrix is deep red. Even a 50% EBITDA improvement combined with a 30% debt reduction produces NLR of ~11.4x — still 2× the covenant ceiling. This confirms structural insolvency: operational improvement alone cannot solve a 24.33x leverage problem. Balance-sheet surgery (Ch.11) was the only viable path.

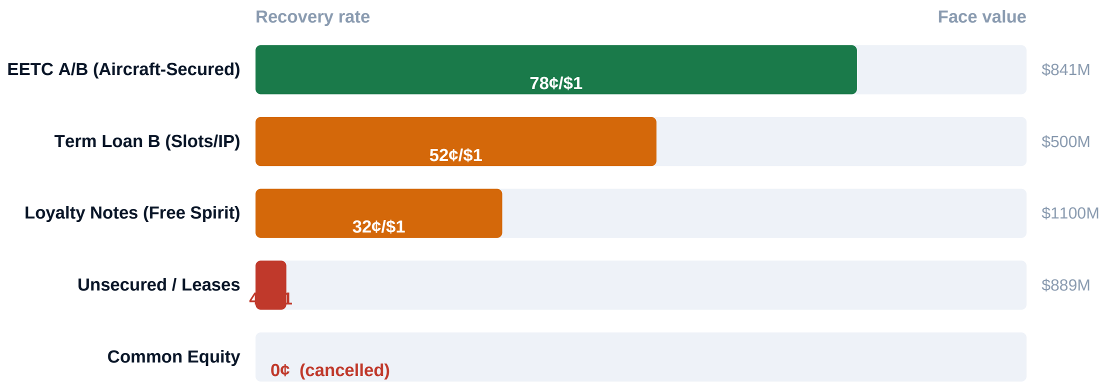
EBITDA \ Debt	Debt +0%	Debt +5%	Debt +10%	Debt +20%	Debt +30%
EBITDA –0%	24.3x	26.0x	27.6x	30.9x	34.2x
EBITDA –10%	27.0x	28.9x	30.7x	34.4x	38.0x
EBITDA –20%	30.4x	32.5x	34.5x	38.7x	42.8x
EBITDA –30%	34.8x	37.1x	39.5x	44.2x	48.9x
EBITDA –40%	40.6x	43.3x	46.1x	51.6x	57.0x
EBITDA –50%	48.7x	52.0x	55.3x	61.9x	68.5x

ALL 30 SCENARIOS: BREACH

Spirit Airlines is the only credit in the DDCSE portfolio with a fully-red shock matrix across all EBITDA and debt stress combinations. This is the quantitative confirmation of structural insolvency — the covenant breach cannot be cured through operations.

5 CREDITOR RECOVERY WATERFALL

Recovery outcomes reflect the seniority structure and Section 1110 aviation protections. EETC holders recovered ~78¢/$1 through aircraft rejections. Loyalty Note holders received equity at ~32¢/$1. Unsecured creditors and equity were effectively wiped out.



6 KEY EVENTS TIMELINE — M&A COLLAPSE TO CH.11 EMERGENCE

Feb 2022 — **Frontier merger announced — $2.9B all-stock deal**

Spirit-Frontier combination would create 4th major ULCC, ~230 aircraft, $5.3B revenue.

Apr 2022 — **JetBlue hostile bid — $3.8B cash offer**

JetBlue sweetens to $3.8B with $200M reverse termination fee; Spirit board accepts.

Jul 2022 — **Frontier deal terminated — JetBlue merger signed**

Spirit shareholders vote down Frontier. JetBlue deal signed. DoJ signals antitrust challenge.

Jan 2024 — **JetBlue merger blocked by Federal court**

DoJ antitrust ruling upheld. Spirit left standalone. NLR now 22.88x. S&P downgrades CCC–.

Mar 2024 — **FY2023 10-K — NLR disclosed at 24.33x vs 5.50x covenant**

Three of four covenants in material breach. Cash burn $65M/month. Stock below $2.

Sep 2024 — **Loyalty Notes waiver expires — cross-default cascade triggered**

$2.44B in secured claims accelerated. Cash ~$380M. Out-of-court resolution impossible.

Nov 18, 2024 — **Chapter 11 filed — SDNY Case No. 24-11988**

$300M DIP financing. Operations continue. Loyalty Notes equitized at ~32¢/$1.

May 2025 — **Emergence from Ch.11 — 6 months, $795M exit financing**

~90 aircraft (vs 200 pre-filing). Equity to former Loyalty Note holders. Unsecured: <5¢.

7 INVESTMENT THESIS & STRUCTURAL ANALYSIS

7.1 The ULCC Model Under Terminal Leverage

Spirit Airlines was the largest US ultra-low-cost carrier by fleet size at filing. The ULCC model — ultra-stripped base fares, aggressive ancillary monetization — generates EBITDA margins of 8–12% in normalized conditions. These margins are mathematically insufficient to service $3.3B in debt. At $101M EBITDA, each $1B of debt adds ~10x to NLR. Spirit crossed the point of no return in early 2022 when NLR exceeded 10x and M&A; remained the only viable exit.

7.2 Three Compounding Failure Mechanisms

(1) M&A; Limbo (Feb 2022 – Jan 2024): 26 months of strategic paralysis. Management deferred fleet rationalization and cost cuts, burning $700M+ in cash while competitors invested in network and loyalty. The DoJ's antitrust block of the JetBlue merger crystallized the terminal standalone position. (2) Margin Compression: Fuel (+38% YoY, 2022), pilot contracts (+34% over 4 yrs), and maintenance catch-up compressed EBITDA margin from ~18% (FY2019) to <2% (FY2023). (3) Cross-Default Cascade: The interconnected covenant structure meant one waiver expiry (TLB, Sep 2024) triggered $2.44B in simultaneous accelerations — making out-of-court resolution practically impossible.

7.3 Recovery Analysis

EETC holders (~78¢/$1): Aircraft-backed + Section 1110 protection enabled orderly aircraft rejections and lease restructurings with residual fleet value preservation. Loyalty Note holders (~32¢/$1): Equitized into reorganized Spirit equity; emergence EV ~$795M implies ~$352M recovery on $1.1B face. Unsecured creditors (<5¢/$1): Trade claims, airport fees, deficiency claims. Common equity: Cancelled in full.

7.4 Sector Read-Across

(a) ULCC Surveillance Rule: Any ULCC with Debt/EBITDA >4.0x and ICR <2.0x warrants structural watchlist classification — not cyclical. (b) Loyalty Program Financing: Free Spirit / Frontier Miles / similar structures create disguised senior secured claims that behave like covenant debt in stress. (c) Section 1110 Anomaly: EETC holders are effectively super-senior to covenant lenders in US aviation Ch.11s regardless of nominal capital structure position. (d) DoJ Posture: Aggressive antitrust stance (JetBlue/Spirit, JetBlue/AA NEA) eliminates M&A; as a balance-sheet rescue mechanism for distressed US carriers.

8 DATA SOURCES & DISCLOSURES

- Spirit Airlines Inc. — 10-K FY2023 (SEC EDGAR CIK 0001498710, filed Mar 4, 2024)
- Spirit Airlines Ch.11 First-Day Declaration — SDNY, Nov 18, 2024 (Case No. 24-11988)
- Spirit Airlines Disclosure Statement — Jan 2025
- S&P; Global Ratings — Spirit Airlines rating action, downgrade to D (Nov 18, 2024)
- Moody's Investors Service — Spirit Airlines rating withdrawal (Nov 2024)
- US DoJ v. JetBlue Airways Corp. — Case 1:23-cv-10511 (D.Mass., Jan 2024)
- Spirit Airlines EETC Prospectus Supplements (SEC, 2015 & 2017)
- DDCSE v3.2 Analytics Engine — github.com/DogInfantry/dynamic-debt-covenant-surveillance-frame
- Report generated: May 29, 2026 · For analytical purposes only. Not investment advice.